Individual Assignment Cover Sheet

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I. Introduction and Motivation

One of the most challenging scenarios to drive a massive organisational and cultural change is the digital transformation through AI of Retail Banks around the world. Their structure is one of the most complex to drive any major transformation due to their legacy hierarchical and regulation structures (Arnold, 2014). Better customer experience can counteract the declining reputation and perception of banks as illustrated by a reputational scenario in the UK (Lawrence and Stiles, 2018). It is claimed that financial organisations can leverage big data, AI and open platforms to drive innovation and remain competitive as financial institutions (Schatt, 2014). For instance, challenger Banks (those lacking physical branches and large physical offices) represent a menace to the status quo of the conventional banks.

Several tech-innovation actions from retail banking have taken place since the mid-2000s. Since then, all around the world there have been innovation driven banks with a very cost-effective structures running on free and open-source technologies (Tapscott, 2006). Subsequently, during the 2010s-decade, banks started embracing new technologies as AI to optimise their operations (Chishti, 2020). Now with GenAI, banks around the world are expected to increase their spending from 6 Billion USD in 2024 to 85 Billion USD in 2030 (Statista, 2025).

There is no doubt that there is a massive need to revolutionise the banking sector and become more digital and AI driven. However, as discussed during our Organisational Behaviour and Leadership course, a major change like transforming to a digital bank requires not only resources to be invested but a major shift of organisational culture (Stiles, 2024). My motivation for this work stems from my experience as Head of AI and Digital Transformation at one of the largest banks in the UK. Besides the heavy investment and technology, there were several challenges to deliver that transformation for such a financial institution.

II. Challenges to Embrace AI

The experience I had to enable AI in the retail banking sector, is well summarised by the query below which is followed by my assessment on how to overcome the respective challenges.

ChatGPT-Query: Provide-a-200-word-maximum-assessment-of-work-culture-challenges-to-drive-AI-transformation-in-a-financial-institution.

"Transforming a financial institution through AI requires overcoming significant work culture challenges. Resistance to change is a primary obstacle, as employees accustomed to traditional workflows may be reluctant to embrace AI-driven systems. This resistance often stems from fears of redundancy or skill obsolescence, compounded by a lack of understanding of AI's role in augmenting rather than replacing human capabilities.

Siloed departmental structures pose another barrier. Collaboration between data scientists, IT professionals, and business units is essential for successful AI implementation. However, entrenched hierarchies and fragmented communication channels can hinder the cross-functional alignment needed for AI projects to thrive.

The institution's risk-averse nature, while essential for regulatory compliance, can slow innovation. Strict adherence to existing policies may stifle experimentation and the iterative processes critical for AI development. Balancing compliance with flexibility is a delicate but necessary task.

Moreover, leadership may lack the strategic vision or technical expertise to advocate for AI adoption effectively. Without strong advocacy and a clear articulation of AI's value, cultural buy-in can be elusive.

Finally, inadequate training and skill gaps among employees can hinder AI adoption. Without robust upskilling programs, the workforce may struggle to integrate AI tools into daily operations. (ChatGPT, 2024).

Based on the scenario presented above, AI requires solid and long-term strategy to deliver an organisational transformation. In the upcoming section, I am presenting an overview of the culture of the banking organisation using the three-levels framework (Stiles, 2024a). Then, in the subsequent sections, I will use the Change Framework (Stiles, 2024b), moving from a current state of conventional retail bank to an improve state of fully enabled AI innovation driven financial institution.

III. Three levels of organisational culture

Below is a summary of the different culture levels related to AI enablement in a banking institution. Artifacts and Espoused values are based on what I did experience in the bank, while Underlying Assumptions is derived from literature review.

Artifacts – Based on my experience, the artifacts in terms of technology and resources used by a conventional bank for AI transformation are:

- Dedicated teams of specialists developing AI tools.
- Repositories of code containing relevant programming resources.
- Regular sessions to discuss progress, risks and opportunities around projects.
- Analytical dashboards and metric based reports showing the technical performance of AI algorithms.

Espoused values – There were several initiatives started by leadership as aspiring goals but not always aligned with actual practices:

- C-Level stakeholders stating generic strategies for embracing AI innovation.
- Measuring customer satisfaction strategies, based on specific goals provided by senior leadership.
- Guidelines from the Financial Conduct Authority for ethical usage of AI.

- Risk management policies around AI management, how to measure value derived from AI algorithms (subject to vague definitions of value attribution).

Basic underlying assumptions – The hardest to change, given these were defining the persistent organisational behaviour:

- The real DNA of the bank with a unionised workforce, would decelerate sudden changes in work culture.
- Employees had the perception that most digital transformation efforts were mainly branding. Leaders at banking organisations are good apply the Law 45 of Power “Preach the need for change, but never reform too much at once” (Greene, 1998).
- There is already a perception about losing jobs to AI due to the massive closure of branches and customer service centres. Job pessimists argue that there would be less jobs than those generated by AI (Tegmark, 2017).
- People running operations consider having a better view of the real needs of the business, hence they take c-leadership views as aspirational rather than directional (Edmondson, 2011).

IV. Creating a shared need

In the next sections the Change Framework is applied. According to the context introduced before, a shared need for the banking institution can be summarised as thriving in a highly competitive and disruptive market. To do so, innovation and intensive progress through new technologies can position the organisation in a niche for long term success.

Digital Innovation needs to be understood by C level stakeholders as “creative destruction”. Organisations such as Intel and Reuters, have stopped asking “who else is doing it?” and embrace the long-term rewards worth the risks (Russell-Walling). Intensive progress means doing entirely new things instead of copying competitors (Thiel and Masters, 2024).

V. Shaping a vision

To avoid been reduced to back-end organisations, key decision makers need to articulate a clear vision. It must deal with the pressures made by regulatory bodies to share data and bring new services. For instance, my institution started embracing new regulation initiatives such as Open Banking (data sharing protocols with other organisations) and it led to new services to their customers. Another organisation, Deustche Bank, has embraced Open Banking to innovate payment services for Business-to-Business customers in Poland (Chishti and Puschmann, 2020).

The vision needs to be articulated into a solid and concise aspiration. Organisations leveraging new technologies to multiply their efficiency by a tenfold increase, are defining Massive-Transformative-Purposes MTPs (Ismail, Malon and Van-Geest, 2014). These are aspirational statements that unify transformational needs, inspire employees, retain talent and attract customers. Applied to a commercial bank using AI, could be something as “We will provide the best customised digital journey to customers and offered them an experience second to none”.

VI. Mobilising Commitment

To mobilise commitment clear problem definition and objectives need to be disseminated across the whole organisation. Management Consulting experts state that a problem that is well defined is half-solved (Garrette, Phelps and Sibony, 2018). This leads a bank to evaluate where exactly to use AI and deliver the best possible value. In terms of making objectives public across the organisation, Google has been a great example, as there is strong sense of commitment to achieve individual and team goals (Schmidt and Rosenberg, 2014). Navy SEALs lead commitment by prioritising and executing laser focused plans, too much complexity prevents clarity of thought and effectiveness (Willink and Babin, 2015).

Complementary skills are equally important for commitment. Employee engagement can be maximised through a culture of experimentation and failure, but with “no tolerance for incompetence” (Pisano, 2019). Political Intelligence, while becoming a trusted advisor and negotiating other managers agendas (Owen,2018), reduces the friction for introducing AI developments across a political organisation as a bank.

VII. Monitoring Progress

From a strategic perspective, understanding all the features and risks from the “terrain” is essential to monitor the transition state of the organisation. A skilled leader adapts to the terrain rather than forcing a rigid plan (Sun Tzu, 1963). This strategic principle applies to AI transformations, since the cultural and organisational terrain can be very challenging to navigate. As discussed in the three-level framework section, it is required to understand each layer of this terrain to ensure that progress is consistent.

Measuring what matters through Objectives and Key Results (OKRs) has been the formula of success for several global tech organisations such as Google and originated with Intel’s leadership under Andy Grove (Doerr, 2018). The Objective for a bank can be to increase their revenue by 10% annually by using AI, the Key Results to achieve can be in the form of measurable outcomes as high percentage of customers using digital services; high net promoter scores using AI services, etc.

VIII. Making Change Last

As per my days leading AI transformation, a centralised body directing the changes was critical to have long-lasting effects. For instance, AI Council providing guidance at organisational level empowering all parties with the know-how and expertise to have a unified plan (Chishti et al., 2020) ensuring that employees, shareholders and customers fully understand the benefits of AI. Moreover, adequate training with realistic goals and adequate tools is critical for employee engagement.

Complex organisations as banks need to be optimised in their hierarchical structures, to disseminate effectively the information and empowering all individuals to be able to do what they need to get things done (Levitin, 2014). This condition usually is not satisfied by most banks, which are regularly described as vertically organised and siloed. Back in those days, another challenge we overcame was ensuring that stakeholders, AI specialists and IT support were working closer together despite the boundaries of departments hierarchies.

For C-level leadership, the changes must be impactful and measurable. Effective managers need to match the employee needs with the CEO vision. AI based transformation of a bank can be a lengthy and complex. Such a change needs to align with a narrative of progress and success for the CEO (Bartlett, 2023). Such is the case of Matt Comyn the CEO of Commonwealth Bank of Australia, sharing the success story around GenAI transformation and adoption with solid results on scam reduction and payment processing standards (Weber, 2024).

IX. Overall Assessment and Conclusion

Addressing the cultural transformation through AI of a banks is complex. Using the Cultural Three-Levels and Change frameworks introduced in the course allow us to bring a solid approach to drive such transformation. Artifacts can be transformed by a flexible approach on long-term success of innovation (Ries, 2011). An open environment to propose new ideas and challenge constructively that strategy has proven meaningful on cultural transformation (Ibarra, Rattan and Johnston, 2018). This enables the right changes on espoused values and underlying assumptions.

As per the Change framework, success can be achieved by collaboration between employees, managers and C-Level Stakeholders. Adequate training is essential while investing in continuous education, as I experienced it while leading digital transformation and AI. It is critical as well to have leadership alignment with a solid AI strategy that goes beyond short term goals and tells a success narrative. The right long-term planning and incentives need to be allocated for those leading the efforts of a strategic critical outcome (Groysberg, 2020). Finally, clear communication about benefits of AI and roles impact is vital to overcoming negative assumptions and driving transformation. Managers can get the full support of leadership by articulating clearly how strategic goals are supported by technological development (Ashford, 2015) such as the AI transformation of the financial institution.

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